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Sell Avigilon: Financial Engineering Concerns And An Inability To Generate Cash Flow

Apr. 30, 2016 5:00 AM ET | **Avigilon Corp (AIOCF)** | 150 Comments

Summary

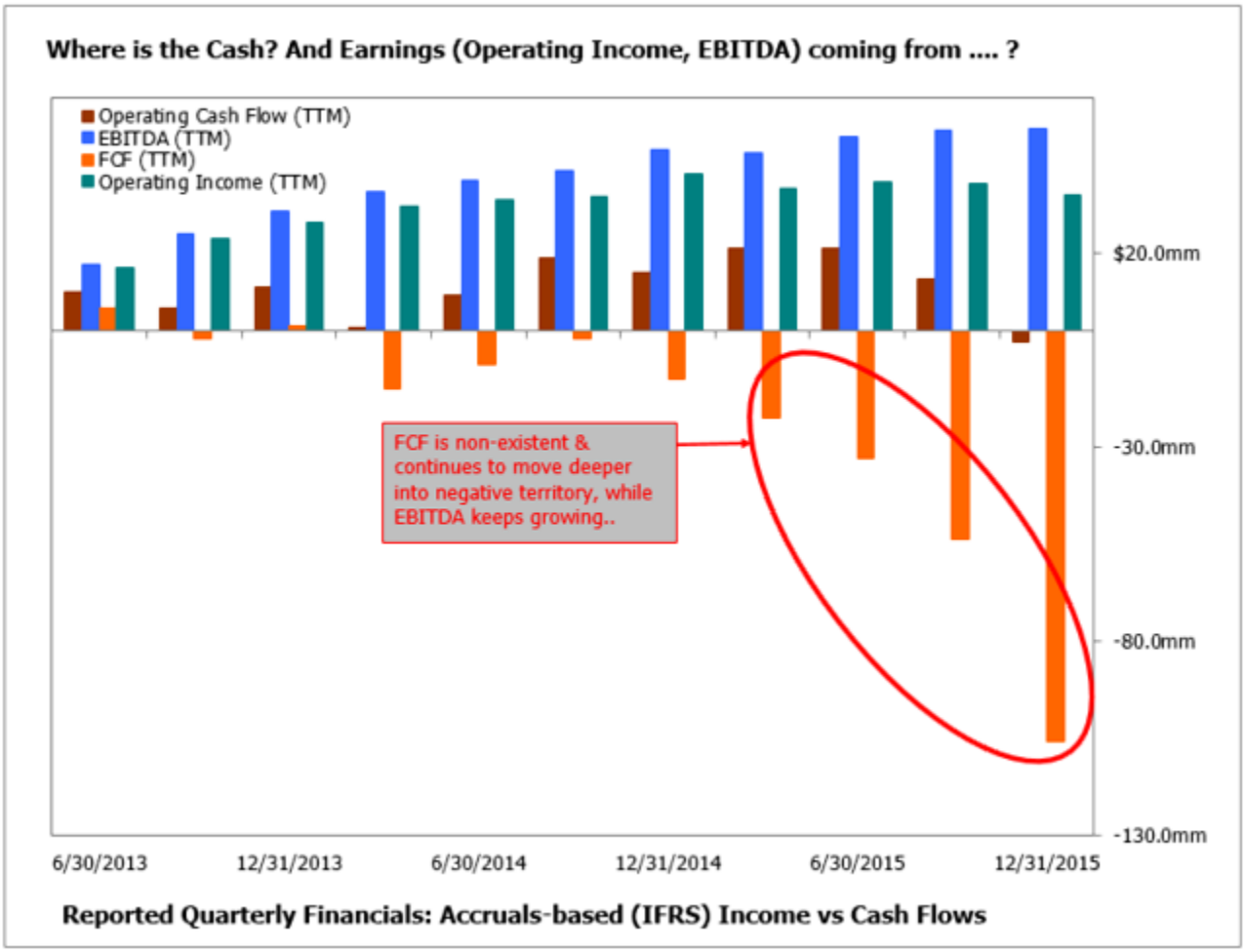
- Avigilon Corp. is a cash-strapped Canadian roll-up that provides video surveillance solutions, which are becoming a commodity as low-cost Asian suppliers flood the market.
- C-Suite executive departures are extraordinarily high with questionable timing (CFO resigns day before earnings), with questionable explanations from the company as to reasons for the departures.
- Financial window-dressing is pervasive, enabling Avigilon to report growing revenues for years and positive/growing EBITDA despite low or negative operating cash flows and virtually no free cash generation.
- Acquisitions blur the line between reported growth and growth in the underlying business, making it virtually impossible to identify a sustainable rate of growth.
- Management frequently changes accounting policy, capitalizing vastly different amounts of R&D each period, and its adjusted "EBITDA" carries zero credibility as the company keeps adding to its list of "add-backs".

(Editor's Note: Investors should be mindful of the risks of transacting in securities with limited liquidity, such as AIOCF. Avigilon's listing in Toronto, AVO.TO, offers stronger liquidity. The article was updated on May 18th, 2016 to remove a reference to Avigilon monitoring staff and to correct a reference to management appointment.)

Elevator Pitch

Avigilon Corp. (OTCPK:AIOCF) is a cash-strapped, Canadian tech roll-up operating in the commoditized analog/digital video surveillance market. It is entering the analytics market with more sophisticated products, but this endeavor and the market for video analytics is in the nascent stages; as a result, video analytics are not broken out in the financial reports as Avigilon has yet to generate revenues sufficient to call this its own segment. AIOCF's balance sheet is burdened by significant debt (4.4x net-debt-to-EBITDA, using Management's "Adjusted EBITDA" calculation per its 1Q16 report (page 3), which adds back material adjustments that serve to boost "Adjusted EBITDA" (described in detail below). Using the standard EBITDA calculation (EBITDA of $7.303mm = Earnings (1.355mm) + Interest (649k), Taxes (799k) + D&A (4.5mm), *1Q16 Net Debt/EBITDA was 11.5x* (refer to the audited balance sheet, income statement and cash flow statement in AVO's 1Q16 report). Operating cash flows are negative (-$4.145mm in 1Q16, and CAD -11.602mm in 4Q15 (derived by backing out from the full-year's CAD -2.63mm the quarterly operating cash flow figures in Q1-Q3 2015), as can be seen from the Statement of Cash Flows in the 1Q16 and 4Q / full-year 2015 reports.

Since its 2011 IPO, AIOCF became a Wall Street darling due to consistent reports of high top-line (and earnings) growth, but its stature has begun to deteriorate as investors begin to recognize a divergence between reported (and "adjusted") EBITDA/earnings and cash flow (see chart below).



Source: Avigilon Quarterly Financial Statement Reports, Emma Muhleman Calculations

The standard calculation of EBITDA, Earnings before Interest / Taxes / D&A, is commonplace and is also a non-GAAP/non-IFRS figure.

Today, AVO has again re-defined "Adjusted EBITDA" and "Adjusted Earnings", as follows (see page 3, "NON-IFRS FINANCIAL MEASURES" from the 1Q16 print):

> *"The Company defines Adjusted EBITDA as earnings before deducting interest, taxes, depreciation, amortization, foreign exchange gain or loss, business acquisition-related costs, restructuring costs, nonrecurring legal costs, non-recurring lease termination costs and share-based payments."*

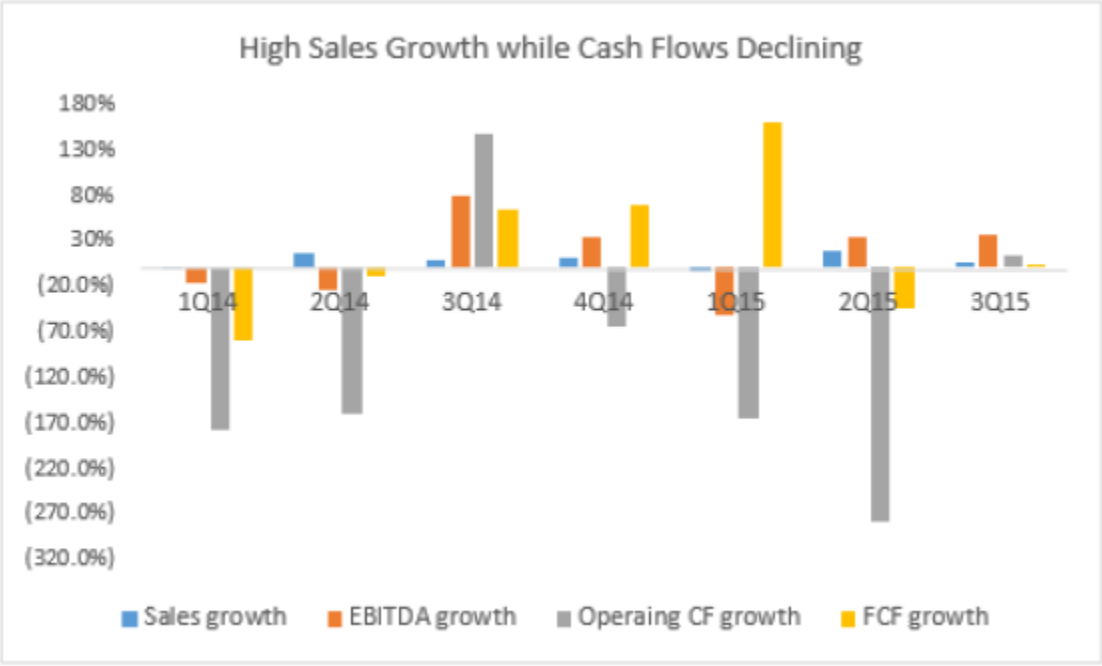
This is quite the list of add-backs, and has only grown with time. And now for Avigilon's amended definition of "Adjusted Earnings:"

> *"The Company defines Adjusted Earnings as earnings before share-based payments, foreign exchange gain or loss, business acquisition-related costs, financing costs, restructuring costs, non-recurring legal costs, non-recurring lease termination costs, amortization of acquired intangibles and related tax effects."*

Avigilon reports "Adjusted Earnings," which flows into "Adjusted EPS," a key metric used by analysts to evaluate results. Financing operations with borrowed money requires interest payments (a.k.a. the "Financing Costs" referred to above). It makes no sense to remove the costs of financing company operations when deriving earnings attributable to the company's shareholders. Debtholders have a priority position to shareholders, thus interest payments to debtholders are a true cost to shareholders. It would be absurd to claim interest paid on borrowed funds doesn't cost the owners of a business anything -- unless you're the German government, you have to pay to borrow money. This comes out of shareholders' pockets.

Since going public, AVO has generated virtually no free cash (with the exception of select quarters, where it delivered immaterial FCF relative to reported EBITDA and earnings (depicted in the chart provided at the intro to this article), and has had to raise equity multiple times, diluting earnings for existing shareholders. Avigilon is likely to require additional funding in the near term, causing ever more dilution to shareholders or placing a heavier burden on the balance sheet.

EBITDA and Cash Flow Growth Negative while Revenues Continue to Grow



Source: Emma Muhleman, CFA's spreadsheet, Avigilon Quarterly Filings

Worse than AIOCF's obvious financial engineering, C-Suite level executive turnover has been extraordinarily high. It was particularly striking when, in May 2014, Avigilon's reputable CFO Brad Bardua suddenly resigned, the day before the company's scheduled earnings release. The timing was suspicious, and the explanation even more so. The company cited "health issues" as the reason for Bardua's departure, yet the CFO took a new executive role at another Canadian company within weeks (Endurance Wind Power, where Bardua currently serves as CEO).

Following Bardua's sudden resignation, Avigilon hired an external head-hunter to begin a search for a new, equally reputable CFO, and placed Director Mr. Wan Jung as the company's Interim CFO, effectively immediately (who kept his place on the Board of Directors) until the company was able to secure a new external CFO to be his replacement. After more than a year of searching, the company ended up resorting to internal sources for a new CFO, appointing Mr. Ric Leong to takeover the CFO role, effective July 2015. Mr. Leong had been with the company since July 2014, roughly a year before his appointment to CFO, and at the time served as its SVP & Chief Accounting Officer.

Also note that prior to Bardua's resignation, three other high-ranking executives departed the firm, including its EVP of Marketing, Communications & Strategy (Keith Marrett, who resigned 11/12/13 with no explanation, after having held the position for only 6-7 months since taking the title in April 2013); its EVP of Global Operations (Chris Ross, who resigned in March 2014 on no notice); and its VP of HR. Virtually all C-Suite executives have departed or resigned with no notice, except the company's Chairman & CEO Alexander Fernandes.

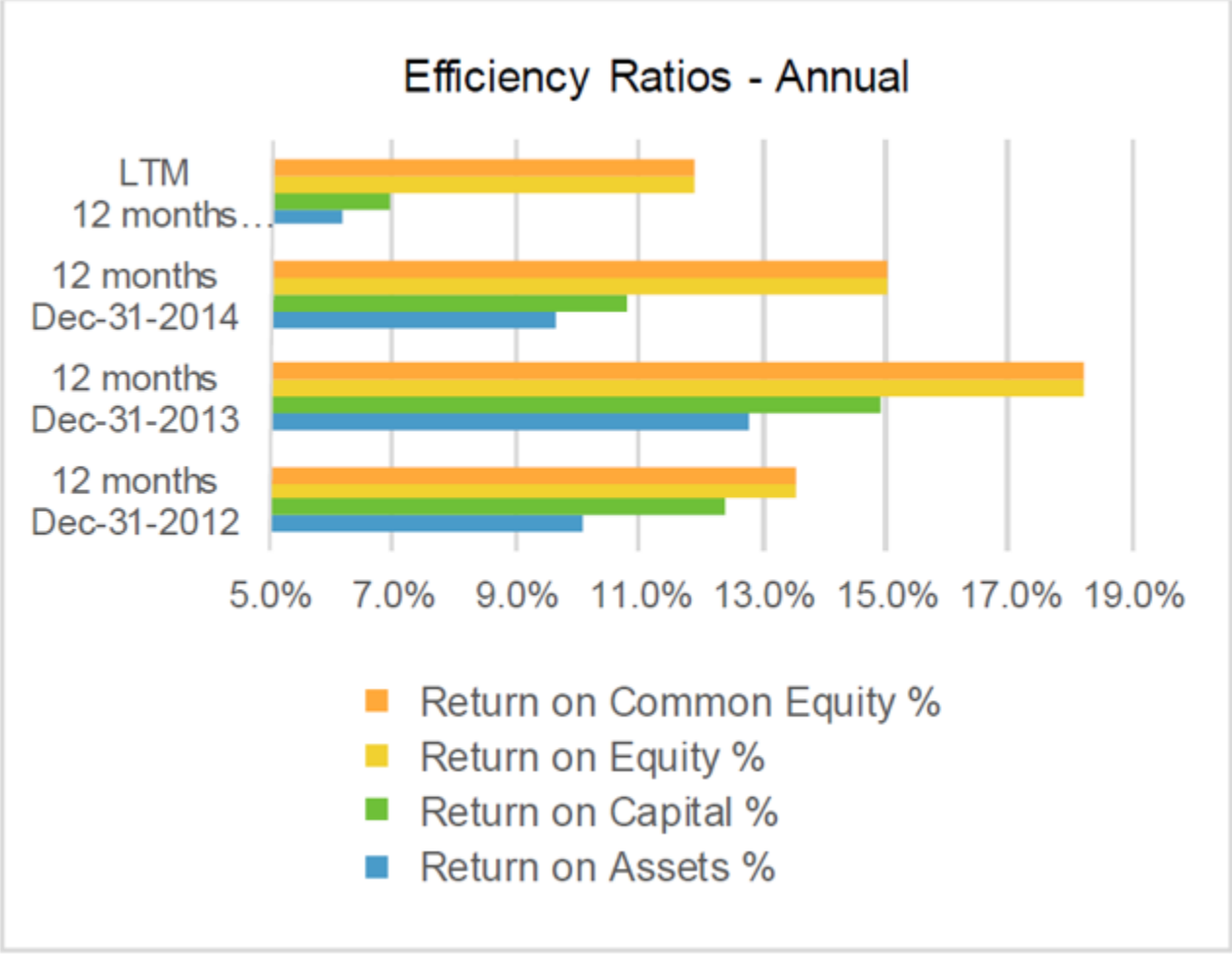
The management turnover continues today. In May 2015, Danny Kam, EVP of Engineering, left the company to *"pursue personal endeavors"* (press release here). He now sits on the Board and serves as a key strategic advisor to Optigo Networks. In August 2015, Senior Vice President of Sales Pedro Simoes resigned to *"pursue other opportunities."* Adding insult to injury, two critical C-level executives resigned together in September 2015 (press release here), including Chief Operating Officer Bryan Schmode (to whom all divisional leads previously reported) and Senior Vice President of Operations Collis Heath. Likely as part of an effort to prevent investor/analyst suspicion, Avigilon appears to have disguised the departures as part of an intentional "management restructuring," but the company included in this streamlined "restructuring plan" the departure of Pedro Simoes, who left the company over a month prior. It appears the company simply lumped him in with the other two departing execs to give the appearance of an intentional effort to streamline the leadership team, a questionable approach. It is extremely rare to see such high levels of executive turnover, and it's particularly troubling when three of the highest level executives resign at once. And of course, Avigilon's Chairman and CEO Alexander Fernandes remained in his position, planning to take over the departing executives' former responsibilities in addition to his existing role.

Moreover, AIOCF has a history of restatements (search *"Restatement of previously issued financial statements"* - detail can be found on page F-12). In the numbers reported to prospective investors (in public filings) for the year prior to Avigilon's public offering, the company grossly overstated earnings per share (reported net loss per share was 50% lower than the actual net loss per share, per the restated figures). Prior to the restatement, assets were also overstated and preferred shares (debt) understated. This misstatement was not fixed until it was later discovered by the company's auditors, who required a restatement. Aside from the factors described above, all of which should bring serious concern to any thoughtful investor regarding management credibility (or, the credibility of CEO Alexander Fernandes, the only stable member of the company's executive team), the stock trades at a 27x P/E, despite a rapid deceleration in revenue growth, clear signs of deterioration in the business, and a requirement to continue spending at unduly high levels to survive in the tech-heavy video surveillance/analytics market. Demand appears to be on the decline, and efficiency metrics are not pretty.

Operating Efficiency Deteriorating



Source: Emma Muhleman, CFA's spreadsheet, Avigilon Quarterly Filings



Source: Emma Muhleman's spreadsheet, Avigilon Annual Filings

Margins and efficiency metrics are on the decline as Avigilon continues to chase (and overpay for) growth as it pursues its strategy to "gain market share" through the continued acquisition of obscure tech/video surveillance and analytics companies (or their patent portfolios). Revenue growth is decelerating, margins are deteriorating, operating cash flows and free cash flows are negative and I expect they will continue to be negative for the foreseeable future.

Management has discussed its need for continued investment in sales & marketing, especially given its ambitions for international expansion, coupled with new investments in U.S.-based production facilities and related equipment. With a strategy centered around flooding the market with sales staff and Avigilon product coupled with continued acquisition-fueled growth, capex is unlikely to slow and cash flow is unlikely to grow anytime soon. Simply put, the company has a bad business model, one that is unlikely to bear fruit for any sustainable period. Moreover, competition is intense and comes from the majors such as Sony Electronics, among others, and prices are being undercut by low-cost Asian suppliers (Hikvision, Vivotek, etc).

Any vigilant analyst with an eye for financial engineering would notice the company's inability to convert EBITDA into cash flow. Days' Sales Outstanding (DSOs) and Days' Inventory Outstanding (DIOs) are rising (and have nearly doubled YoY); this, coupled with decelerating top-line growth suggest deteriorating business conditions, either due to product quality/reputational issues, customers switching to low-cost commoditized imports from Asian suppliers (which is also driving material pricing pressure, industry-wide), or weakening market demand overall due to slowing global growth (surveillance solutions tend to be sensitive to macroeconomic conditions).

Company Description

Avigilon Corporation designs, manufactures, and markets video surveillance and access control software and equipment for the security market worldwide. The company's products include high definition Internet protocol cameras, network video recorders, analog video encoders, access control and security products, RIALTO video analytics appliances, and video management software products. Its products are used in school campuses, transportation systems, healthcare centers, public venues, critical infrastructure, prisons, factories, casinos, airports, financial institutions, and government facilities, as well as used by retailers. The company sells its products through a network of dealers and integrators. Avigilon Corporation was founded in 2004 and is headquartered in Vancouver, Canada.

Thesis & Catalyst For Avigilon Corp.

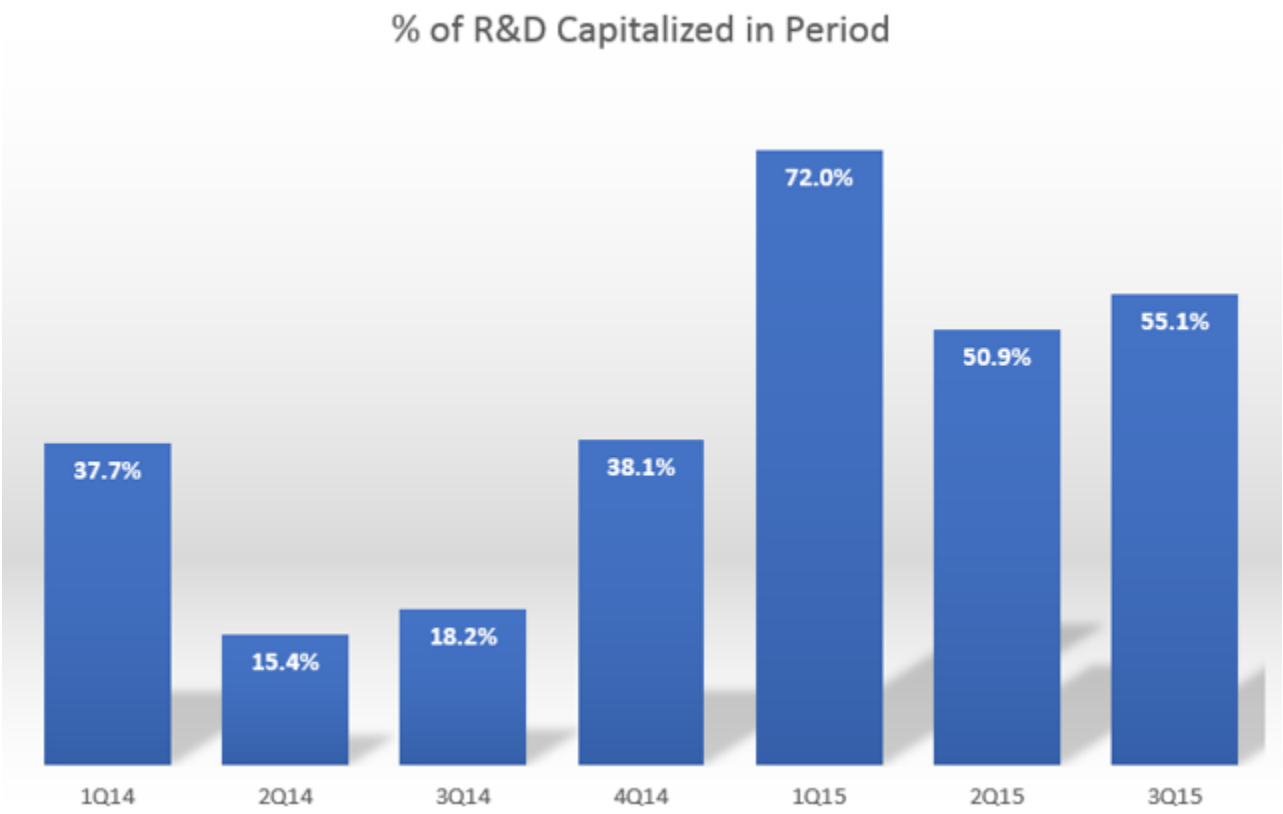
The company is wildly overvalued due to pervasive financial window-dressing, which has misled investors into thinking AIOCF is thriving when in reality, the business is falling apart. Before long, likely when the company announces yet another equity financing, investors will recognize the major divergence between reported adjusted "earnings" and "EBITDA" (even when stated in IFRS terms) and cash flows. Operating and free cash flows are negative, while EBITDA and EBIT are strong. Something is clearly wrong with this picture - and it could be more insidious than the mere financial window-dressing suggested in this article.

Valuation

Price to "adjusted" EPS is 27.0x, way above the peer group and far beyond reason for a company like this. Worse, this P/E is actually deflated (in reality, it's much higher), considering the numerous adjustments the company uses to calculate "adjusted earnings" and "adjusted EBITDA" (oh and by the way, management frequently changes its method in calculating these adjusted figures). Refer to the "Questionable Accounting" discussion included below. Even if the P/E of 27x were legitimate, this would be atrocious relative to the Canadian market as a whole and relative to the S&P 500 (which trades at roughly 16-17x). Avigilon's top-line growth in the past has been driven by acquisition rather than organic sources, blurring the line between reported growth and actual, sustainable growth rates from the underlying business. Financial engineering is consistent, as management continuously changes its IFRS and non-IFRS reporting techniques (for example, in one period the company capitalizes 60% of R&D expense, compared to virtually zero in the next). Management continues to add new/incremental "adjustments" to non-IFRS figures, including "one-time" or "non-recurring" acquisition-related costs and restructuring charges that seem to recur, period after period. Efficiency has been on the decline as AIOCF continues to overpay on new acquisitions (required to support its promise/guidance for top-line growth). Even with the support of several acquisitions to bolster growth, the top-line growth rate continues to decelerate. If valued based on discounted cash flow, Avigilon is worth nothing - it generates no cash, and won't generate cash for the foreseeable future. One would have no reason to conclude that, say, five years down the line, Avigilon will suddenly become cash flow positive.

Questionable Accounting

Avigilon's management has mastered the art of financial window-dressing. Prior to the 1st quarter of 2014, Research & Development (R&D) costs were expensed in the income statement as incurred. IFRS accounting allows for the capitalization of some R&D expenses, provided they meet specified criteria - Avigilon elected to begin taking advantage of this "judgment based" accounting election precisely when it needed it, and never with any consistency. For instance, in 1Q14 AIOCF capitalized 38% of its R&D costs, compared to only 15% the next quarter. As of late, the company has significantly increased its R&D capitalization rate, exceeding 50% since the start of 2015 (as depicted below). This may be a mechanism used by management to gloss over deteriorating fundamentals or weakening margins.



Source: Emma Muhleman's Research, Avigilon Filings

Management continues to Amend its Definition of "Adjusted EBITDA" and "Adjusted Earnings"

Management teams often provide an alternate, non-GAAP or in Avigilon's case, non-IFRS measure of EBITDA and earnings to better reflect the results of ongoing operations, removing non-recurring or "one-time" items that shouldn't be relevant in the prediction of future performance or business conditions. But, all too often, these adjusted figures, which are relied upon by analysts and investors, are the cornerstone of management's earnings manipulation campaigns. This seems particularly relevant in Avigilon's case, as the company continues to take IFRS earnings and add back more and more items, rendering this "adjusted" data unreliable. The company consistently adds back "one-time" or "non-recurring" items, yet these items continue to recur, period after period. Below I provide examples of both the company's changing definition of adjusted earnings, and the regularity of these unusual/irregular expenses.

In the first quarter of 2014 (1Q14 report link here, see page 12), management "redefined" adjusted EBITDA and adjusted earnings from:

Pre-1Q14 Addbacks (to both EBITDA and Net Income): Share-based compensation payments, FX gains/losses, Depreciation and Amortization, Interest Expense, and Current and Deferred Income Tax Expenses

- **Share-Based Compensation**: The costs of employing staff or higher-level personnel, whether they're paid through the dilution of existing shareholders via share-based compensation or with outright cash, *the costs are virtually the same and these are real expenses of running a business. Businesses must pay their employees to sustain operations, so to the extent that these expenses come out of existing shareholders' pockets, they should be recognized as expenses.*

- **Depreciation & Amortization:** While it's understandable that this would be excluded from EBITDA, there is no reason it should be added back in the calculation of net income. The purchase of capital assets such as land, buildings and equipment (e.g. company headquarters, sales offices in Canada, the U.S., and abroad) and in Avigilon's case, the acquisition of patent portfolios, are large expenditures critical to the operation and continuance of the company's business. These expenditures (capex and/or the purchase of intangibles) are generally for large purchases with payment due upfront, so it makes sense to allow the company to expense these payments over the useful lives of assets purchased, hence the requirement for depreciation and amortization. *It makes no sense whatsoever to exclude these costs from the calculation of earnings.*

- **FX Gains/Losses**: This adjustment is more or less fair, since the company adds back to earnings losses on foreign exchange but also reduces adjusted earnings for gains on foreign exchange.

- **Interest Expense**: This too is a fair adjustment, as prior to 1Q14 management only added interest back in the calculation of adjusted EBITDA. Earnings were still reduced for interest.

- **Current and Deferred Income Tax Expense**: This, again, is a fair adjustment since management only applies the addback in its calculation of Adjusted EBITDA.

And on to management's *first "redefinition"* of Adjusted EPS.

Post-1Q14 Addbacks (to both EBITDA and Net Income):

> *"Note that during the first quarter of 2014 we amended our definition of Adjusted Earnings to add back Amortization of Acquired Intangibles."*

After the "amendment" to the company's definition of Adjusted EPS -

Management defines Adjusted EPS as *"earnings before share-based payments, foreign exchange gain/loss, business acquisition costs, amortization of acquired intangibles and related tax effects."*

Acquired Intangibles: Avigilon regularly acquires tech companies solely to obtain their large and/or unique patent portfolios. The company also purchases patent portfolios by themselves and one-off patents, without buying an entire company. In either case, these are reported as *"Acquired Intangibles."* ***These intangible assets do not have indefinite lives; eventually, patents expire and the intangible assets (i.e. the patents) are worth nothing. Without expensing their costs, management overstates earnings and understates the true cost of doing business.***

Business Acquisition Costs: The *company regularly acquires and rolls-up smaller technology businesses* into Avigilon (the platform entity), and this has been consistent and should continue going forward. As such, *business acquisition costs are and will continue to recur and as a result, they should be deducted from the calculation of EPS.*

Share-Based Comp: As discussed previously, this is a true cost - it represents the cost of paying employees, and should be reflected in the income statement.

Again, in 4Q14, the company further "amended" its definition of Adjusted EBITDA and Adjusted EPS, with new addbacks enabling management to paint a prettier picture than actually exists.

See pages 2 and 19 of Avigilon's 4Q14 report here for detail on these newly defined adjusted EBITDA and adjusted EPS figures.

Post-3Q14 Definitions of Adjusted EBITDA and Adjusted EPS:

> *"Previously, Adjusted EBITDA was defined as earnings before deducting interest expense, taxes, depreciation, amortization, foreign exchange gain or loss and share based payments. **The revised definition** of Adjusted EBITDA is defined as earnings before deducting interest expense, taxes, depreciation, amortization, foreign exchange gain or loss, business-acquisition related costs, restructuring costs, non-recurring legal costs and share-based payments."*

Conveniently, management brought in two additional items to inflate "Adjusted EBITDA," namely the add back of *"restructuring costs"* and *"non-recurring legal costs."*

See page 2 of the 4Q14 report for the **new definitions of "Adjusted Earnings" and "Adjusted EPS"**:

> *"The company defines Adjusted Earnings as earnings before share-based payments, foreign exchange gain or loss, business-acquisition related costs, financing costs, restructuring costs, non-recurring legal costs, amortization of acquired intangibles and related tax effects. **Adjusted EPS** is calculated using both the basic and diluted weighted average shares outstanding and **does not represent actual earnings per share attributable to shareholders**."*

Wow, in this case, management comes out and says it outright, *"Adjusted EPS" does not represent actual earnings per share attributable to shareholders*. Well, what is the purpose of these adjustments, then? They are supposed to better reflect actual earnings to shareholders. As you can see from the above, conveniently management now adds back not only the incremental adjustments discussed when the company redefined adjusted earnings in 1Q14 (the first re-definition), but also includes "*financing costs" (a timely addition - just as the company had built up some debt*), "*non-recurring legal costs*," and "*restructuring costs*" to bolster reported earnings.

- **Financing Costs**: These represent a real cost of operating the business, and ultimately these expenses come out of shareholders' pockets. Accordingly, there is no backing or reasoning management should be adding these costs back when calculating "Adjusted Earnings," which is meant to reflect the earnings available to common shareholders.

- **Restructuring Costs**: These are among the worst when it comes to *earnings manipulation*. Companies love to book big charges to "one-time" or "non-recurring" restructuring charges, when in reality this simply represents the costs associated

with some business decision or may even include regular operating expenses (since management provides no real transparency as to what is included in this figure). Did the company file for Chapter 11 or is it executing a Restructuring plan in bankruptcy court? No. So why is management adding back these "restructuring" charges, and permanently redefining the way it calculates Adjusted EPS to exclude them? It's called **financial engineering at its finest**.

- **Non-Recurring Legal Costs**: Many large corporations employ their own, internal counsel, even when no litigation is currently taking place. This counsel offers the company a support layer to ensure compliance with applicable regulation, and allows the company the ability to litigate, where necessary. Considering a considerable share of Avigilon's future value relies on the legitimacy of its patent portfolios, significant litigation may be required in the future in order to achieve or maintain any value from these patents. The company posted "non-recurring" legal costs in more than one period. By definition, this is not a "non-recurring cost;" rather, it's a mechanism to make earnings and performance look better than it actually is.

As one might expect from the two times management "redefined" adjusted EBITDA, adjusted earnings and adjusted EPS in only one year, this wasn't the last revision.

The Next Amendment: Today's "Adjusted EBITDA" and "Adjusted EPS" Defined

The new definitions are as follows:

As given previously, AVO has again re-defined "Adjusted EBITDA" and "Adjusted Earnings", as follows (see page 3, "NON-IFRS FINANCIAL MEASURES" from the 1Q16 print):

> *"The Company defines Adjusted EBITDA as earnings before deducting interest, taxes, depreciation, amortization, foreign exchange gain or loss, business acquisition-related costs, restructuring costs, nonrecurring legal costs, non-recurring lease termination costs and share-based payments."*

This is quite the list of add-backs, and has only grown with time. And now for Avigilon's amended definition of "Adjusted Earnings:"

> *"The Company defines Adjusted Earnings as earnings before share-based payments, foreign exchange gain or loss, business acquisition-related costs, financing costs, restructuring costs, non-recurring legal costs, non-recurring lease termination costs, amortization of acquired intangibles and related tax effects."*

And the grounds for these incremental adjustments carry little or no support, raising questions as to the credibility of the company's accounting practices. As an example, owners who finance operations through debt have to pay interest on those borrowings. As far as I'm aware, unless you're the German government, lenders require borrowers pay interest. These interest payments come directly from shareholders pockets.

Company Management

The executive team has been entirely inconsistent since the company went public, with extraordinarily high C-Suite departures on no notice, generally accompanied by a dubious explanation from Avigilon. Management incentives are misaligned with those of shareholders, focused entirely on growth in absolute dollars with no regard to the *cost of generating that growth* (a.k.a. returns). With a large share of his bonus tied to top-line growth, it's no wonder CEO Alexander Fernandes keeps sweeping up companies at unduly high prices. I see no catalyst for change on this front and as a result, one should expect unscrupulous spend and continued margin contraction going forward.

Avigilon's Product

The company offers fully integrated, IPv6 (i.e. open-source) digital cameras with unique and innovative features (e.g. 360 degree video) that are interoperable with legacy, analog surveillance systems for customers looking to transition to digital over time. These cameras are equipped with data compression capabilities at the camera level, allowing for a reduction in data transmission loads, thus requiring a smaller share of available bandwidth and allowing for less costly data storage.

The real advancements in video surveillance have come with the shift to digital systems integrated with innovative back-end software video analytics platforms, whose enhanced capabilities enable the system to differentiate between an object and a human or potential threat. For instance, the older analog camera systems would mistake a large leaf that flies into its field of vision for a potential threat, and would often be thrown off by inclement weather. Today, cameras can distinguish between a human face and a dog, for instance, thereby minimizing false alerts - only when an actual human (a.k.a. a potential thief or other threatening character) comes into the camera's field of vision is an alert triggered. In the past, alerts were frequent and generally due false triggers resulting from inanimate objects or inclement weather.

Avigilon has teamed up with third party monitoring vendors who link to its surveillane systems and have 24/7 live monitoring personnel, enabling preventative surveillance versus simply reactive systems. This represents a huge leap forward for businesses subject to frequent and costly theft and for law enforcement and other organizations. For instance, car dealerships are key target customers of Avigilon. Why? They're regularly robbed overnight, with stolen cars, stolen tires, even stolen copper and wiring. With the Avigilon system, 50+ cameras can be installed surrounding the dealership's perimeter that can identify any humans wandering the lot during after hours. If a human is identified, one of the live Monitoring staff (again, not an Avigilon employee but one of a third party vendor integrated with the surveillance system) will be alerted. The monitoring staff will then get onto the phone, which speaks through the dealership's paging system to the individual(s) on the lot, notifying them, for instance: "The dealership is currently closed. Please come back during our business hours, Monday through Friday 8am-8pm." If the individual remains on the lot and ignores the warning (and thus may be a potential thief), the back-end monitoring team will immediately notify nearby law enforcement. As part of my channel checks, I spoke with the CFO of a luxury car dealer who had recently installed the system. The dealer's CFO indicated that in the single month they've had company's system up and running, Avigilon's monitoring staff had already issued several alerts and in one case, an individual ignored their warnings and was arrested on the spot.

In short, the company does have an innovative product that can deliver a meaningful ROI in a relatively short timeframe for certain businesses. By my calculations, the car dealer could've recovered the cost of its investment in the system in 2 years or less, though its CFO was unsure about whether they'd be subject to recurring required payments for upgrades, what have you -- she simply wasn't up-to-date on the recurring fees (if any) as the system was only installed months ago. But, she did have the numbers memorized as it relates to the total, upfront installation cost, including fixing glitches and adding features, and while she characterized it as "pricey," based on her figures for stolen property (vehicles, tires, and more), I could quickly calculate a payback period of only 1.5-2 years, which doesn't seem so pricey to me. Not to mention the potential for reduced insurance costs.

In summary, the company does have a solid product. This is not to say, however, that it does not have its shortcomings. Additionally, major competition exists with similar products and solutions, making it harder and harder to maintain market share without constantly delivering new, innovative products and features.

Market/Competitive Landscape

In the market for video surveillance, customers tend to be price sensitive and demand conditions are generally cyclical in nature.

The market is highly fragmented, with hundreds of small players like Avigilon and a couple majors, with greater resources and much greater access to cash (relative to Avigilon), both of which are critical to sustaining any competitive edge in this rapidly evolving, technology-driven industry. The market for video surveillance is at an inflection point, where customers are bifurcated between those focused on keeping costs down and those willing to pay more premium prices for added functionality and real-time, preventative video analytics versus those that can only react after-the-fact. At the low end of the market, customers turn to the lower cost Asian suppliers who're becoming more sophisticated and increasingly competitive. Companies such as Hikvision, ACTi Corp., Vivotek, and Uniview have increasingly competitive solutions, which has brought pricing pressures across the industry and caused customers to demand more and more to justify incremental pricing.

Avigilon's management team consistently emphasizes its differentiation by having an all-inclusive, end-to-end video surveillance offering that integrates software (so end users can analyze aggregated, recorded data from surveillance results over time), hardware (i.e. the actual cameras and data transmission network), and a new "video analytics" solution, which management views as the future of the video surveillance market. On the analytics side, I would approach management claims with caution as this market is still in its very nascent stages. We cannot yet predict who will dominate in this space, and given its margin profile and business model, it is certain to attract plentiful competiton.

While its "end-to-end" or "turnkey" solution may have offered Avigilon some competitive edge in the past, today virtually everyone can offer an end-to-end, fully integrated solution. Avigilon also claims its system is "user friendly" and cites "ease of installation" as key benefits. These no longer qualify as differentiators. The market has evolved significantly, with emphasis on open platforms that are interoperable with products and solutions from all vendors (must be able to work seamlessly with cameras, encoders, and digital video recorders (DVRs) from any manufacturer). There's also an increasing push to make solutions customizable by the end user. While Avigilon will claim it can offer a high level of customization, it would require a systems integrator to come in and help tailor the solution to meet customer needs, within certain limits. On the other hand, the company's largest competitor, resulting from the merger of Canon, Axis Communications and Milestone Systems (Axis and Milestone were AIOCF's two key competitors prior to the deal), delivers the industry's true "*open platform*." Milestone's video management system is based on a real open platform, which means it has a published application programming interface (API), allowing developers to alter the functionality of the Milestone system as they so choose. Milestone's open platform allows clients to add custom, best-in-class security solutions as well (as does Avigilon), including Access Control products (e.g. RFID cards, retinal scanning access control, fingerprint recognition), new and innovative cameras, and video analytics.

Avigilon does provide a high quality, all-encompassing solution, including IP-based digital cameras (interoperable with analog/legacy systems), video management software (VMS), Access Control products and video analytics, but is by no means without competition. Competition is intense, and comes from many angles ranging from nimble technology providers with innovative solutions to industry giants like Sony Electronics, among others, whose resources are virtually unlimited (provided they remain focused on competing in video surveillance).

Revenue & EPS Outlook

Absent any major acquisitive announcements, revenues are likely to miss consensus estimates in coming quarters as competition intensifies and low-cost commodity producers out of Asia continue to take share. The video surveillance market is becoming a commodity due to low-cost Asian supply and as a result, pricing pressures should cause margins and EPS to suffer. Additionally in AIOCF's case, an inability to generate cash from its own operations will likely cause the company to raise additional equity, which will be dilutive to EPS. I would strongly advise investors look only to reported IFRS EPS with this company, ignoring management's "adjusted" figures which are subject to significant manipulation.

Variant View

To give credit where it's due, Avigilon does have a quality product, which is likely driving some of the strength in the stock. But as we know, a good product or even a good company does not always make a good investment. Those with long positions in the company may argue it has obtained through recent acquisitions a sustainable competitive edge through unique, patented technologies. Others may argue Avigilon's product is among the highest quality available, giving it a sustainable edge in the high-end of the video surveillance market.

But, the numbers do not lie. Days' Sales Outstanding are rising, as are Days' Inventory Outstanding, suggesting weaker-than-expected demand. Revenues growth is decelerating and has decelerated significantly in the last two years; after growing >80% for three consecutive years in 2009 through 2011, top-line growth, including a boost from several acquisitions, has slowed to +36% YoY in 2015.

My channel checks suggest the product is of relatively high quality, but that customers experience significant integration issues and remain unsure as to the ROI on their purchase of the Avigilon system, noting it was "quite expensive" and/or "created major disruptions in the supply chain" [resulting from too little bandwidth, unable to deal with the massive amounts of data transmission over the network, requiring companies upgrade their internet services to enable access to greater bandwidth]. Avigilon customers indicated they experienced issues from a full-blown shut-down of the company's internet to incomplete installations (with cameras still non-functional months after purchase) and/or the requirement to use multiple products from different suppliers that weren't interoperable (despite Avigilon's claims it has the "only" full-suite, turnkey solution that can operate with all suppliers and legacy, analog systems).

Price Target

In light of the uncertainty surrounding the accounting concerns, forward cash economics, and questions of management credibility, I don't believe Avigilon can sustain its lofty valuation multiple. I am looking for a move down to at least $US 9.00/share.

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Over 6 years' experience on the buyside. Spent nearly 3 years of my professional career as a Research Analy... **more**

Disclosure: I/we have no positions in any stocks mentioned, and no plans to initiate any positions within the next 72 hours. I wrote this article myself, and it expresses my own opinions. I am not receiving compensation for it (other than from Seeking Alpha). I have no business relationship with any company whose stock is mentioned in this article.

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